Nosebleed Sports LLC – Binder Guide (Nick only)

v3, 2026-11-12. This is the plain-English manual for the 36-document founder closing binder. It explains every word, every number and every rule, and it shows the math. Nothing here goes to the other founders.

Part 1. What the binder does in one paragraph

On one day (the "Actual Closing Date", target November 20, 2026) the five of you sign the Operating Agreement and your unit agreements, and the company issues 7,900,000 voting Class A units to the five founders. Nobody pays cash. You, Gabriel, Stephen and Michael get your units because JGN, which the four of you own, paid every bill (about $12,990); that money is recorded as your capital, about $3,247.50 each, and it comes back to the four of you first whenever the company pays anything out or is sold. Christian gets his units for finishing the build and serving as CTO. The same day the company issues 150,000 non-voting Class B units to Brock, fully vested, under an amendment to his talent agreement that he signs, and keeps 1,950,000 units unissued for future strategic partners. JGN signs one agreement that hands the app, website, Discord and code to the company, licenses the Nosebleed Sports brand to it forever, promises to promote it through the social accounts, and keeps funding it until it can fund itself. Everything else in the binder records that this happened, so a buyer can see it in one place.

Part 2. Glossary

- **Class A Units**: the founders' voting units. 7,900,000 issued.
- **Class B Units**: Brock's non-voting units. 150,000 issued, fully vested.
- **Reserved Units**: 1,950,000 authorized but unissued; for strategic partners and Brock's milestone units.
- **Contributing Founders**: you, Gabriel, Stephen and Michael, the four JGN owners who funded everything.
- **Service Founder**: Christian. His units are for his work, not for money.
- **JGN Contribution**: every dollar JGN has paid or pays for the company. It is your four capital accounts, not a loan.
- **Unreturned Capital**: the part of that money that has not yet been paid back to the four of you. It is paid back first, with no interest.
- **Profits interest**: units that share only in value created after they are issued. Christian's and Brock's units are profits interests, which is why receiving them is not taxable income.
- **Fully Diluted Percentage**: your share of all 10,000,000 units, as if the reserve were already issued. Nick 20%.
- **Percentage Interest**: your share of the 8,050,000 units that exist today. Used for distributions after capital is returned. Nick 24.845%.
- **Voting Interest**: your share of the 7,900,000 Class A units. Used for every vote. Nick 25.316%.
- **Supermajority Approval**: yes votes from holders of at least 70% of Class A units. Silence is never a yes.

- **Disinterested Ownership**: the Class A units held by people who are not the subject of a vote (used when the vote is about one person, such as removing them for cause). Those votes need at least three of the other founders holding 65% of the other founders' units, which works out to any three of the other four.
- **Actual Closing Date / Transfer Date / Valuation Date**: all the same day. The day units are issued and vesting starts.
- **Self-Sufficiency Date**: the first day after three straight months where the company's own cash receipts beat its expenses and it holds three months of expenses in the bank. JGN's funding duty ends then.
- **Brand License**: JGN's permission for the company to use "Nosebleed Sports" for the app, website, Discord and paid picks. Exclusive, perpetual, royalty-free, goes with the company if it is sold. It is a license, never a sale.
- **Promotion covenant**: JGN's promise to push the platform through the social accounts, free.
- **Platform**: the app (Nosebleed Live), the website, the Discord and the Premium Offering together.
- **Original Cost**: what the company pays for unvested units if a founder leaves. For the four of you it is your unreturned capital at that moment spread over your units (or fair value if lower); whatever the company pays comes off your unreturned capital and the rest of your capital stays with your vested units. For Christian and Brock it is zero.
- **Continuous Service**: still working for the company. Vesting depends on it.
- **Good Leaver / Bad Leaver**: left for a good reason (death, disability, fired without cause after a sale) or a bad one (cause, breach of IP or confidentiality).
- **Talent Agreement / Talent Amendment**: Brock's agreement dated September 24, 2026, and the First Amendment to it (document 31).
- **JGN Agreement**: document 19.
- **RUIA**: Restricted Unit Issuance Agreement, one per founder (documents 25–29).

Part 3. The math

Units. 2,000,000 + 2,000,000 + 1,300,000 + 1,300,000 + 1,300,000 = 7,900,000 Class A. Plus 150,000 Class B = 8,050,000 outstanding. Plus 1,950,000 reserved = 10,000,000 authorized.

What JGN paid (your numbers, May through November 2026, seven months, plus the $500 formation cost).

Item	Calculation	Amount
AI subscriptions (Codex, Claude) for Nick, Christian, Gabe	$1,000 × 7	$7,000
Ball Don't Lie API	$300 × 7	$2,100
Odds data API	$300 × 4 (May–Aug) + $30 × 3 (Sep–Nov) = $1,200 + $90	$1,290
Storage and infrastructure (Railway, GitHub and so on)	$250 × 7	$1,750

Item	Calculation	Amount
App store costs	one charge	$250
Jerseys and helmets for the app's interface	one purchase, November	$100
Delaware formation filing and registered-agent fees	one-time	$500
Total	$7,000 + $2,100 + $1,290 + $1,750 + $250 + $100 + $500	**$12,990**

$12,990 ÷ 4 = $3,247.50 each for you, Gabriel, Stephen and Michael. If November's monthly charges had not posted by closing, or the true figures differ, tell me and the schedule changes; the documents also give JGN 60 days after closing to add anything that was missed.

Fully diluted (of 10,000,000). 2,000,000 = 20%; 1,300,000 = 13%; 150,000 = 1.5%; 1,950,000 = 19.5%. 20 + 20 + 13 + 13 + 13 + 1.5 + 19.5 = 100.

Percentage Interest (of 8,050,000 outstanding). 2,000,000 ÷ 8,050,000 = 24.845%; 1,300,000 ÷ 8,050,000 = 16.149%; 150,000 ÷ 8,050,000 = 1.863%. 24.845 × 2 + 16.149 × 3 + 1.863 = 100.000.

Voting Interest (of 7,900,000 Class A). 2,000,000 ÷ 7,900,000 = 25.316%; 1,300,000 ÷ 7,900,000 = 16.456%. 25.316 × 2 + 16.456 × 3 = 100.000.

Vesting. Half vests on closing day: you and Christian 1,000,000 each, the others 650,000 each (3,950,000 in total). The other half vests monthly over 48 months. 1,000,000 ÷ 48 = 20,833.33, so 20,833 a month for 47 months (979,151) and 20,849 in month 48. 650,000 ÷ 48 = 13,541.67, so 13,541 a month for 47 months (636,427) and 13,573 in month 48. Brock's 150,000 are vested on day one.

Votes. 70% of 7,900,000 = 5,530,000 units must say yes.

Who says yes	Units	Share	Result
Nick + Christian + any two of Gabriel, Stephen, Michael	6,600,000	83.5%	passes
Nick + Gabriel + Stephen + Michael (Christian out)	5,900,000	74.7%	passes
Christian + Gabriel + Stephen + Michael (Nick out)	5,900,000	74.7%	passes
Nick + Christian + one 13% holder	5,300,000	67.1%	fails
Any three people	at most 5,300,000	at most 67.1%	fails

So the rule in practice is "any four of the five founders". On ordinary decisions nobody has a one-person veto, any two people together can block, and the four JGN owners can act without Christian. The price of that: Christian plus the three 13% holders could also act without you. At 75% (the v1 draft) you and Christian each had a one-person veto and nothing could pass without both of you, which contradicted "Christian has zero say on JGN matters", because changing the JGN deal is also a company vote. You asked for your own veto, so Section 5.7 now adds your written consent to four things: a sale, merger or dissolution; any new units, new member or bigger unit count (Brock's milestone units excepted); any amendment to the Operating Agreement; and removing or replacing you as CEO or changing the CEO's authority. Nobody else has this. It lasts while

you are working for the company, it cannot be handed to anyone, and it ends at the closing of a sale. It does not stop the other founders from removing you for cause if the facts fit the definition (any three of the other four), and if that happens the veto ends with your service. Everything outside those four things is still "any four of five", so the other four can still outvote you on ordinary decisions, spending above $25,000, and the company's side of the JGN and Brock agreements.

Votes about one person. Removing a founder for cause, a disability finding, buying back a leaver's vested units and similar votes are decided by the other four founders only. The rule is at least three of them holding 65% of their units.

The vote is about	Units the others hold	65% of that	Smallest three-person yes	Largest two-person yes
A 13% holder	6,600,000	4,290,000	4,600,000 (passes)	4,000,000 (fails)
You or Christian	5,900,000	3,835,000	3,900,000 (passes)	3,300,000 (fails)

So it is always "any three of the other four". The last build used 70% here, and the stress test showed that was 20,000 units short of working for a 13% holder (you and Christian would both have had to say yes). 65% fixes that.

A warning for later. If the company ever issues more than 528,571 voting units to a partner, "any four of five" stops being true: 70% × (7,900,000 + 528,572) = 5,900,000.4, and the four founders without you (or without Christian) hold exactly 5,900,000. Any proposal to issue reserve units now has to state the new vote count in writing.

A sale, worked through. Say the company sells for $1,000,000 the day after closing and every founder is kept or paid out in full.

1. Capital comes back first: $12,990, which is $3,247.50 each to you, Gabriel, Stephen and Michael.
2. The remaining $987,010 is split across all 8,050,000 units: $245,219.88 for each 2,000,000-unit holder, $159,392.92 for each 1,300,000-unit holder, $18,391.49 for Brock. Check: 2 × $245,219.88 + 3 × $159,392.92 + $18,391.49 = $987,010.01 (a cent of rounding).
3. Totals: you $248,467.38; Christian $245,219.88; Gabriel, Stephen and Michael $162,640.42 each; Brock $18,391.49.

Every extra dollar JGN puts in after closing is added to step 1 and comes back to the four of you the same way.

Brock's milestones after the amendment. 1.5% now. At $60,000 of qualifying revenue he goes to 2.5% (100,000 more units); at $110,000 to 3.75% (125,000 more); at $175,000 to 5% (125,000 more). Maximum 500,000 units, all from the reserve. The old $25,000 step is gone because he already holds more than it gave.

Part 4. Every rule, in plain English

Ownership and money (Article 3). No one buys units. The four of you receive units for the capital JGN put in on your behalf; Christian receives his for services. JGN's money is capital, not a loan: the company owes nobody anything for it, no interest runs, and it is returned first on any payout (Section 10.5). If closing has not happened within 120 days of the first signature, everything resets. Money JGN pays after closing is credited equally to the four of you unless all four agree otherwise, and it only counts if it paid an approved company

expense and was reported to the founders. The reserve can only be issued by a 70% vote, and founders have no preemptive rights over it; 350,000 of the reserve is set aside for Brock's milestone units (500,000 − 150,000). Any founder who ever owes the company money (a capital call they agreed to, for example) has seven days to pay after notice, with a dispute route to an accountant.

Management (Article 4). Member-managed, no board. You run the company and are the only bank signer; Christian finishes and runs the platform; Gabriel runs marketing and the funnel from the media network; Stephen runs information systems and website operations; Michael runs data engineering and the picks and odds pipelines. Spending: you up to $5,000 on your own; every other officer up to $2,000 in their lane; an officer's spend from $2,000 to $5,000 needs your approval; $5,000 to $25,000 needs you plus two more founders; above $25,000 needs a 70% vote. All per vendor per rolling 12 months. JGN also has to say yes to anything it is funding. Weekly sync and quarterly review are mandatory; the official channels are the Discord server and the founders' text group; a founder must answer company business within two business days (24 hours if marked urgent). Three uncured failures in a year can be treated as cause. You prepare a budget each quarter and a 70% vote approves it. If you cannot act, Gabriel acts as CEO (including at the bank and as tax representative), and Christian if Gabriel cannot, until the founders vote in a successor; if Christian cannot act, you act as CTO.

Votes (Article 5). 70% of Class A for every company decision (any four of five); any three of the other four for a vote about one person; counted only on actual yes votes. A sale, new units, amendments and any change of CEO also need your consent (Section 5.7). Class B never votes. JGN ownership does not disqualify any of you from voting on JGN matters. A governance review six months after closing; an optional outside-counsel review when monthly recurring revenue hits $25,000 or the company becomes self-sufficient.

Vesting and leaving (Article 6). 50% vested at closing, 50% monthly over 48 months. If a founder leaves, unvested units are bought back automatically at the lower of Original Cost and fair value (nothing, for Christian). If the company has no cash to pay, it pays as soon as it can and the buyback still stands. Vested units are never forfeited; the company can buy them at fair value, no discounts, only if the founder quits voluntarily, is removed for cause, commits serious misconduct, or competes. Vesting pauses while a founder is in uncured default and the schedule extends month for month. Before a sale, nobody can be pushed out without cause.

If a buyer ends your service (Section 6.12). If, at the closing of a sale or any time after it, the buyer fires a founder without cause, the founder resigns for good reason (a real cut in role, pay or location), or the buyer simply does not offer the founder a comparable role, 100% of that founder's unvested units vest and every dollar held back for them is paid within 10 days. It also covers a firing within 90 days before closing that was done for the buyer, and a founder who dies or becomes disabled after the sale. After a sale, "cause" needs written notice and 30 days to fix the problem, and if the founder disputes it the money stays in escrow until the dispute is settled. The held-back money sits with an independent escrow agent, not the buyer, and cannot be set off against other claims. The sale documents must bind the buyer to all of this and cannot water it down without that founder's consent. A founder who stays on keeps vesting normally and the buyer holds their unvested money until it vests; that is what gives the buyer comfort while guaranteeing you are paid in full if they let you go.

Transfers (Article 7). No transfers without a vote, except to a family trust or a wholly owned company. Right of first refusal to the company then the other founders; tag-along; drag-along on an approved sale. Sale money is split the same way as any distribution: capital back first, then by units.

IP and accounts (Article 8). Everything built for the platform belongs to the company. The PIIA makes each founder assign it, including work done before closing; that is how Christian's work gets assigned, since he never signed anything before. JGN, which owns the code today, assigns it to the company at closing. The brand, the socials, their handles and the brand domains stay JGN's. Company-critical accounts (repos, hosting, databases, the Discord server, whatever collects subscriptions, the data APIs, the bank) must end up in the company's name or under its control, and credentials and API keys are never written down in the binder and never changed without Christian's say-so. The one exception: if the CTO seat is empty, or the CTO is the person being suspended or investigated for cause, you plus one other founder can approve a change.

Tax (Article 10). Partnership for tax. Capital accounts: $3,247.50 each for the four of you, zero for Christian and Brock. Losses paid for with your capital are allocated to the four of you. Distributions: capital back first, then pro rata by units, by 70% vote, after reserves. You are the Tax Representative.

Planned products (Schedule F). Nosebleed Sports Fantasy (hosted fantasy leagues, NFL first, then MLB and NBA; led by Christian and Michael; not started) is listed as a company product, so anything built for it belongs to the company. It is not added to the 12-month non-compete, which still covers paid picks only. Any fantasy league that charges an entry fee or pays prizes counts as a regulated activity and needs a 70% vote with a compliance plan first (Section 2.5). Brock's podcast is noted as planned with no name and no contract yet; under the documents as written, podcasts sit on JGN's side unless its contract says otherwise.

Competition (Article 11). For 12 months after leaving, a founder cannot build or work on a paid picks product or a sports app or community whose main money is paid picks. Everything else is allowed: JGN's media business and socials (free picks talk included), selling ads and sponsorships, any software, agency or other business, being a creator. No poaching staff or talent (Brock included) and no interfering with subscribers, sponsors or data providers for 12 months. Company opportunities must be offered to the company first. No other company is named anywhere in the binder.

Death, disability, dissolution, liability (Articles 12–15). Estates keep vested units and join as members; unvested units are bought back unless three of the other four founders vote otherwise within 90 days. Dissolution needs a 70% vote. No founder is personally liable for company debts, and nobody owes anybody for JGN's money.

Amendments (Article 16). 70% vote plus your consent, plus the consent of anyone hurt differently from the others: Brock if his economics are cut, any of the four of you if your capital priority is cut, any founder if the sale-acceleration right is cut.

Part 5. The JGN Agreement (document 19), section by section

1. Definitions: Brand (name, logos, domains), Social Accounts (including their handles), Platform Assets (the code and everything built for the platform), the Field (apps, sites, communities, paid picks, subscriptions), the Reserved Field (socials, free content, podcasts, ads, sponsorships, merch, JGN's other media), Self-Sufficiency Date. Fantasy leagues are now named in the Field, so Nosebleed Sports Fantasy sits on the company's side.
2. JGN assigns the Platform Assets, including the code, to the company now, as part of your four capital contributions.

3. JGN keeps the brand, the socials and handles, the brand domains, historical content, all social-account revenue and its other media business. The agreement says in terms that it licenses the brand and sells nothing.
4. Brand License: exclusive in the Field (even against JGN), worldwide, perpetual, royalty-free, includes running the platform on the brand domains (JGN stays the owner and registrant and points the domains where the company directs), assignable to a buyer without JGN's consent. JGN must give a buyer a written confirmation within 10 business days. If JGN ever sells the brand, the company gets a 45-day first offer. JGN can end the license only if the company stops using the brand for 24 straight months or a court finds an uncured quality breach.
5. Promotion covenant: link in bios, regular posts, stories and lives on a quarterly cadence; free; no promoting a competing paid-picks product; survives a sale for 24 months.
6. Brock's agreement: JGN handles the brand and managed-account side, the company handles the platform and premium side. JGN pays Brock's $800 a month, bonuses and revenue shares as its own expense; they are only added to your capital if JGN and the company write down that a payment was for the platform.
7. Funding: JGN's past payments ($12,990) and future payments are capital of the four of you, not a loan, no interest, nothing owed back; they are returned only through payouts. JGN funds the approved quarterly budget until self-sufficiency and can stop on 90 days' notice, which has to go to every founder.
8. Revenue: platform money is the company's and must be collected in the company's own accounts, never through JGN; social-account money is JGN's; mixed deals are contracted and invoiced separately where possible. If platform money ever lands in a JGN account by mistake, JGN holds it for the company and passes it on within 10 days.
9. Accounts: JGN holds all the platform accounts today and transfers them (not the socials, handles or brand domains); keys change only as Christian approves.

10–13. No equity for JGN; JGN warrants it owns the code and the brand, that no former member or contractor has any right in them, that the deal does not breach any of JGN's agreements (including with a current or former member), and that JGN is not doing this to avoid any creditor and can still pay its debts afterwards; JGN's debts and what it owes current and former members are JGN's alone; competition covenant; Delaware law. You sign for both sides, as CEO of each, under unanimous consents on both sides.

Why the Glover agreement shaped this. His name no longer appears anywhere in the 36 documents (v3); the protections are written in general terms. They exist because of three clauses in the redemption agreement you signed on November 11:

- The unpaid buyout ($12,600) becomes due within 30 days if JGN sells its rights in the Nosebleed Sports brand. So the binder licenses the brand and never sells it.
- While the buyout is unpaid, JGN cannot transfer a social account or handle to any of you or to a company you control, except at fair market value. So no social account, handle or brand domain moves to Nosebleed Sports LLC.
- Glover gets 20% of JGN's receipts, and money JGN collects and passes on to a company you control still counts. So platform subscription revenue has to be collected directly by Nosebleed Sports LLC (its own Chase account and its own subscription platform account), never through JGN, or 20% of it goes to Glover until he is paid off.

Part 6. Every document

No.	Document	What it is for	Who signs
00	Master Record Book Index	Table of contents and closing record	Nick
01	Operating Agreement	The rulebook	All five; company by Nick
02	Organizational Written Consent	First vote: adopts the OA, approves value, contributions, issuances, officers, banking, the JGN documents	All five
03	FMV Memorandum	Why the company is worth what it cost ($12,990) on closing day	All five
04	Capital Contribution Instructions	How the four contributions are recorded; no cash	Nick
05	Issuance Closing Statement	Reconciles units and contributions	Nick
06	Capital Contribution Ledger	Records each contribution and the capital accounts	Nick
07	Officer Certificate	Nick certifies the closing happened	Nick
08	Officer Appointment Record	Titles, lanes, spending limits	Nick
09	Banking Resolution	Open the Chase account; Nick sole signer; others view-only	Nick
10	Official Unit Ledger	Entry per holder, Class B entry, reserve	Nick
11	Capitalization Table	Three percentage views and who contributed what	Nick
12	Vesting Ledger	Vesting per founder with the monthly math	Nick
13	Contribution and Separation Schedule	Per person: capital, services, IP	Nick
14	Historical Expense and JGN Contribution Schedule	The $12,990, item by item	Nick
15	Company Asset Schedule	What the company owns and what it licenses	Nick
16	IP Chain of Title Register	Which document gives the company each kind of IP	Nick
17	Company Account Schedule	Account categories and the control standard	Nick
18	Founder PIIA	Each founder assigns platform IP and agrees to confidentiality and security rules	All five; company by Nick
19	JGN Agreement	Code assignment, brand license, promotion, funding, accounts	Nick for both sides

No.	Document	What it is for	Who signs
20	JGN Member Consent	JGN's four owners approve document 19 and the capital treatment	Nick, Gabriel, Stephen, Michael
21	Closing Checklist and Signature Index	The order of signing; who signs what	Nick
22	Governance Summary	One-page overview	Nick
23	Capitalization Reconciliation	Every number ties	Nick
24	Record Book Certification	Nick certifies what the binder contains	Nick
25–29	Restricted Unit Issuance Agreements	Each founder's units (Nick, Christian, Gabriel, Stephen, Michael)	Founder plus Nick; Christian countersigns Nick's
30	Brock Smith Class B Unit Issuance Record	The company's record of Brock's grant	Nick only
31	First Amendment to Brock's Talent Agreement	1.5% now, vested; milestones to the same 5% cap; his joinder	Nick for JGN and the company; Brock
32–35	Capital Contribution Receipts	One for each of the four contributing founders	Nick; Christian signs Nick's

Part 7. Closing steps (document 21 has all 25)

1. You make JGN's payment records for the $12,990 available to everyone; everyone reviews documents 14 and 03.
2. All five sign 03, 02, 01, their RUIA and 18. The four JGN owners sign 20. You sign 19 for both sides.
3. Brock gets a copy of the Operating Agreement; then you (for JGN and the company) and Brock sign 31. It takes effect on closing day. If closing never happens, his agreement stays as it is today.
4. The company records the four contributions; you write the Actual Closing Date on the OA signature page and sign the company blocks; Christian countersigns your RUIA and receipt.
5. You sign 30 and send it to Brock within 10 days; update the ledgers; sign 07 last.
6. After closing: open the Chase account; within 60 days JGN adds any expense that was missed.

Deadline from Brock's agreement: the OA must be adopted by January 22, 2027. A November 20 closing is well inside it.

Part 8. Likely questions

- "Why does nobody pay anything?" The four of you already paid, through JGN. Christian is paid in units for his work. That is exactly what the documents now say.

- "Why does the JGN money come back to the four of us first?" Two reasons. It is fair: you funded it and Christian did not. And it is what makes Christian's and Brock's units tax-free on receipt: if the company were sold for what it is worth on closing day, the money would return your capital and leave nothing for them, so they are receiving a share of future growth only.
- "Does Brock have to sign?" Yes, one document: the amendment to his own agreement (document 31). His agreement can only be changed with his signature, and you are changing it (1.5% vested now, milestones restated). He does not sign the Operating Agreement.
- "Is JGN's money a debt?" No. Nothing is owed to JGN. A buyer sees a company with no debt to its founders' other company.
- "What does a buyer get?" The platform and its code, the subscribers, the Discord, a perpetual exclusive license to the brand that transfers automatically, 24 months of promotion through the socials, the chain of title, and a clean cap table.
- "What does a buyer not get?" The brand itself and the followers. They stay with JGN.
- "What happens to us if the buyer cleans house?" Section 6.12: everything vests and you are paid in full within 10 days.
- "What about taxes?" Christian and Brock: profits interests, no income on receipt; have the CPA confirm and consider a protective 83(b) election for Christian within 30 days of closing (it costs nothing and removes doubt). The four of you: you are contributing capital, not being paid. The company files a Form 1065 for 2026 by March 15, 2027.
- "Can we change the 70%?" Yes, before signing; the 70% and the 65% are each one number in the generator and the tables above show the effect.